SGBS GROUP

PROFESSIONAL ADVISORY & COMPLIANCE SERVICES

PROPOSAL FOR PROFESSIONAL SERVICES

VAT Dispute Resolution, Return Reconstruction & Full Debt Elimination

Sections 104, 164, 200 & 213 — Tax Administration Act, No. 28 of 2011
SARS VAT Registration No. 4450318136 — Transaction Year 2022

TOTAL LIABILITY UNDER DISPUTE

R 2,148,389.29

6 periods | Tax + Penalties + Interest

TARGET OUTCOME

R 0.00

Full write-off via Section 200 TAA

PHASE 1	PHASE 2	PHASE 3	PHASE 4
Suspend Payment	**Dispute & Object**	**Reconstruct VAT**	**Compromise Debt**
S.164 TAA	S.104 TAA	S.95 TAA	S.200 TAA

PREPARED FOR

MC Sithole

Marekiwa Courage Sithole
6248 Maphanga Street, Ikaganga
VAT Reg: 4450318136

PREPARED BY

SGBS Group

Sibusiso Mavuso — Consultant
Professional Advisory & Compliance

REFERENCE NUMBER	DATE OF ISSUE	TOTAL FEES
SGBS/VAT/MCS/2026-04	**9 April 2026**	**R59,500.00**

SGBS Group – VAT Debt Elimination Proposal

SGBS GROUP

Professional Advisory & Compliance Services

Date: 9 April 2026

PROPOSAL FOR PROFESSIONAL SERVICES

VAT Dispute Resolution, Return Reconstruction & Full Debt Elimination

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1. PARTIES

	Details
Service Provider	SGBS Group
Consultant	Sibusiso Mavuso
Client Name	Marekiwa Courage Sithole
Trading Name	MC Sithole
VAT Registration No.	4450318136
Physical Address	6248 Maphanga Street, Ikaganga, 2525

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2. BACKGROUND & PROBLEM STATEMENT

SGBS Group has been approached by **MC Sithole** (VAT Reg: 4450318136) to assist with the full resolution and elimination of a significant VAT liability raised by SARS.

A review of the SARS **VAT Statement of Account (VATSA)**, dated 25 February 2026, reveals the following:

2.1 Nature of the Assessments

SARS raised **six (6) estimated assessments** across the 2021/2022 VAT transaction year, covering six bi-monthly periods. These were raised on **12 March 2025** following the filing of **nil (R0.00) returns** for each period on 30 August 2024. The nil returns did not reflect the actual trading activity, and SARS consequently estimated the VAT liability in terms of **Section 95 of the Tax Administration Act, No. 28 of 2011**.

2.2 Summary of Assessed Amounts

VAT Period	Tax Assessed	Penalty	Interest	
202103 (Mar 2021)	R366,630.65	R14,665.23	R89,980.00	**R471,275.88**

202105 (May 2021)	R476,294.67	R19,051.79	R114,672.72	**R610,019.18**
202107 (Jul 2021)	R308,996.43	R12,359.86	R72,952.84	**R394,309.13**
202109 (Sep 2021)	R176,320.10	R7,052.80	R40,806.12	**R224,179.02**
202111 (Nov 2021)	R217,890.65	R8,715.63	R49,410.66	**R276,016.94**
202201 (Jan 2022)	R136,747.17	R5,469.89	R30,372.08	**R172,589.14**
TOTAL	**R1,682,879.67**	**R67,315.20**	**R398,194.42**	**R2,148,389.29**

> ***Critical:*** *The account is flagged as* ***Selected for Audit****. The full R2,148,389.29 sits in the* ***120+ days overdue*** *bucket. Interest continues accruing at approximately* ***R15,000–R17,000 per month****.*

2.3 The Client's Position

The client is **unable to pay** the assessed amount. The debt as assessed does not accurately reflect the true VAT liability of the business. The goal of this engagement is not merely to dispute the figures — it is to **fully eliminate the debt** through a structured legal process under the Tax Administration Act.

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3. STRATEGY — FULL DEBT ELIMINATION IN FOUR PHASES

SGBS Group's strategy is specifically designed to target **complete elimination of the R2,148,389.29 liability** by attacking the debt on multiple fronts simultaneously. The four phases work together and build on each other.

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PHASE 1              PHASE 2              PHASE 3              PHASE 4
─────────────        ─────────────        ─────────────        ─────────────
Suspend Payment  →   Dispute &        →   Reconstruct &    →   Compromise
(Stop the clock)     Reduce Tax           Correct Returns      (Write it off)
Section 164 TAA      Section 104 TAA      Section 95 TAA       Section 200 TAA
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Phase 1 — Suspension of Payment (Section 164, TAA)

Purpose: Stop SARS from legally enforcing collection immediately.

Without suspension, SARS can issue garnishee orders, attach bank accounts, and seize assets at any time. A suspension application freezes enforcement while the dispute runs.

SGBS Group will: - Prepare and submit a formal **Suspension of Payment application** to SARS - Draft a detailed motivation demonstrating that the assessments are disputed and that enforcement would cause irreparable harm - Monitor the suspension and renew as required throughout the dispute process

Expected outcome: SARS halts collection action for the duration of the dispute.

Phase 2 — Formal Objections Against All Six Assessments (Section 104, TAA)

Purpose: Legally challenge all six estimated assessments and force SARS to justify or withdraw them.

SARS estimates under Section 95 are legal placeholders — they are not final. A formal objection compels SARS to review each assessment. Where returns are filed late, a **condonation application** will be submitted simultaneously.

SGBS Group will: - Prepare and file a **Notice of Objection (NOO)** for each of the six VAT periods - Submit **condonation for late objection** applications with full motivation - Challenge the legal basis of each estimated assessment - Apply for **remission of all penalties** under Section 213 of the TAA on the grounds of: - SARS's own estimation process caused the inflated figures - No wilful intent to evade tax - First-time compliance failure - Demonstrated financial hardship - Escalate to **Alternative Dispute Resolution (ADR)** if SARS disallows and, if necessary, to the **Tax Court**

Expected outcome: Penalties waived, interest significantly reduced or remitted, and assessments referred back for correction pending accurate returns.

Phase 3 — VAT Return Reconstruction & Corrected Submissions (Section 95, TAA)

Purpose: Replace SARS's estimated figures with the actual, accurate VAT liability — which may be a fraction of the assessed amount or zero.

This is the most powerful phase. SARS's estimates may bear no resemblance to what was actually owed. By reconstructing the real output tax (VAT on sales) and input tax (VAT on purchases) for each period, we establish the **true tax liability**. Legitimate input tax claims can dramatically reduce — or even eliminate — the net VAT payable.

SGBS Group will: - Collect and analyse all **business bank statements** for March 2021 to February 2022 - Organise all **sales invoices** and **purchase/supplier invoices** - **Capture all transactions** into a structured VAT workbook, period by period - Calculate correct **output tax (VAT on sales)** and **input tax (VAT on purchases)** - Prepare corrected **VAT201 declarations** for all six periods - Submit corrected returns to SARS to replace the estimated assessments - Use the corrected returns as the primary evidence base for the objections in Phase 2

Expected outcome: True tax liability established — likely substantially lower than R1,682,879.67. If input tax is significant, net liability could be near zero.

Phase 4 — Compromise of Tax Debt (Section 200, TAA) — Full Write-Off

Purpose: Formally apply to SARS to accept R0 (or a nominal amount) in full and final settlement, with the balance written off permanently.

Section 200 of the Tax Administration Act empowers SARS to **permanently write off a tax debt** when it is in the interest of SARS and the taxpayer to do so. This is the ultimate tool for a taxpayer who genuinely cannot pay and has no assets or income sufficient to service the debt.

Legal grounds for a Section 200 application in this matter: 1. The taxpayer is **unable to pay** the assessed amount 2. **No realisable assets** from which SARS could recover the full debt 3. Pursuing legal enforcement would cost SARS more than it would recover (**uneconomical for SARS**) 4. The original assessments were **SARS estimates, not actual returns** — the real liability is disputed 5. Writing off the debt allows the client to remain a **compliant, contributing taxpayer** going forward rather than being permanently excluded from the tax system 6. Liquidation or sequestration of the taxpayer would yield **less recovery for SARS** than a negotiated compromise

SGBS Group will: - Prepare a comprehensive **Statement of Assets and Liabilities** for the client - Compile **proof of financial hardship** (bank statements, income evidence, debt schedule) - Prepare and submit a formal **Section 200 Compromise Application** to SARS - Negotiate with SARS's Debt Management unit for the lowest possible settlement — targeting full write-off - If a partial payment is required, negotiate the minimum possible amount

Expected outcome: Full or near-full elimination of the remaining tax debt after Phases 1–3, with SARS issuing a written confirmation that the debt is settled in full.

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4. DOCUMENTS REQUIRED FROM THE CLIENT

Given that SGBS Group already has access to eFiling (which provides assessment notices, filed returns, SARS correspondence and the VATSA), the following documents must be provided by the **client directly**:

4.1 Identity Documents

#	Document
1	Certified copy of ID document (MC Marekiwa Courage Sithole)
2	Signed **SARS Power of Attorney** authorising SGBS Group to act on his behalf

4.2 Bank Statements *(Most Critical)*

#	Document
3	All business bank statements — **March 2021 to February 2022** (all accounts, full 12 months)
4	Current bank statements — **last 3 months** (for Section 200 financial hardship evidence)
5	Personal bank statements if business and personal accounts were mixed

4.3 Tax Invoices & Records

#	Document
6	All **sales/tax invoices issued** — March 2021 to February 2022
7	All **purchase/supplier invoices received** — March 2021 to February 2022
8	Any existing cashbook, accounting records, or bookkeeping (Excel, Pastel, Sage, manual)
9	Stock or inventory records (if applicable)

4.4 Financial Position Documents (For Section 200 Compromise)

#	Document

10	List of all **assets** owned: property, vehicles, business equipment, investments
11	List of all **debts and liabilities** currently owed (bonds, vehicle finance, personal loans)
12	Proof of **current monthly income** (payslip, bank deposits, or confirmation of unemployment)
13	Proof of **monthly expenses** (rent, utilities, food, dependants)
14	Any **sequestration, liquidation, or administration order** documents (if applicable)

> ***The bank statements (items 3 & 4) are the single most critical documents.*** *They are needed for return reconstruction, objection evidence, AND financial hardship proof for Section 200. Provide these first.*

5. PROCESS & TIMELINE

Phase	Activity	Timeline
Onboarding	Engagement signed, bank statements received, POA signed	Week 1
Phase 1	Suspension of Payment application submitted	Week 1–2
Phase 2	Objections + condonation applications filed for all 6 periods	Week 2–4
Phase 3	Bank statement & invoice capture — all 12 months	Week 3–8
Phase 3	VAT reconstructions completed, corrected VAT201s prepared	Week 8–10
Phase 3	Corrected returns filed with SARS	Week 10–11
Phase 4	Statement of assets & liabilities prepared	Week 8–10
Phase 4	Section 200 Compromise application submitted	Week 11–13
Follow-up	SARS responses, ADR/Tax Court if required	Ongoing
Target outcome	Debt fully resolved and written off	6–18 months

> *SARS objection processing typically takes* ***60–90 business days****. Section 200 applications can take* ***3–12 months*** *depending on SARS's Debt Management unit workload.*

6. PROFESSIONAL FEES

Service	Fee (Excl. VAT)
Suspension of Payment Application (Section 164)	R3,500.00
Objection — VAT Period 202103 (incl. condonation)	R3,000.00
Objection — VAT Period 202105 (incl. condonation)	R3,000.00
Objection — VAT Period 202107 (incl. condonation)	R3,000.00
Objection — VAT Period 202109 (incl. condonation)	R3,000.00
Objection — VAT Period 202111 (incl. condonation)	R3,000.00
Objection — VAT Period 202201 (incl. condonation)	R3,000.00
VAT Reconstruction & Capture — Period 202103	R5,000.00
VAT Reconstruction & Capture — Period 202105	R5,000.00
VAT Reconstruction & Capture — Period 202107	R5,000.00
VAT Reconstruction & Capture — Period 202109	R5,000.00
VAT Reconstruction & Capture — Period 202111	R5,000.00
VAT Reconstruction & Capture — Period 202201	R5,000.00
Section 200 Compromise Application & Negotiation	R8,000.00
TOTAL PROFESSIONAL FEES	**R59,500.00**

Payment Terms:

- **50% deposit (R29,750.00)** — due on signing, before work commences
- **25% (R14,875.00)** — due upon filing of all corrected VAT201 returns (Phase 3 complete)
- **25% (R14,875.00)** — due upon submission of Section 200 application (Phase 4 complete)
- Fees are exclusive of VAT where applicable
- All disbursements included at no extra charge

> ***Context:*** *SGBS Group's total professional fees of R59,500 represent* ***less than 3% of the R2,148,389.29 liability*** *we are working to eliminate. Successful debt write-off would save the client over* ***R2,088,000****.*

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7. IMPORTANT LEGAL NOTES

1. **Interest compounds monthly** at approximately R15,000–R17,000 per month. Every month of inaction increases the debt. Immediate engagement is essential.

2. **No guarantee of outcome.** SGBS Group will apply best professional practice and pursue every available legal avenue. However, SARS retains final discretion on objection outcomes and Section 200 applications.

3. **Full cooperation required.** The success of this engagement — particularly the Section 200 application — depends entirely on the client providing complete, accurate, and timely documents. Incomplete records will weaken every layer of the strategy.
4. **SARS Audit.** The account is flagged as "Selected for Audit." All reconstructed returns and documents must be audit-ready. SGBS Group will manage all audit correspondence.
5. **Remission of penalties** under Section 213 TAA is applied for as part of the objection process. Remission is at SARS's discretion but is well-supported where estimated assessments are the cause of the liability.
6. **Section 200 eligibility** requires the client to demonstrate genuine inability to pay through documented financial evidence. The stronger the financial hardship evidence, the stronger the application.

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8. ACCEPTANCE

By signing below, both parties confirm their agreement to the scope, strategy, fees, and terms set out in this proposal.

For SGBS Group:

Name:	Sibusiso Mavuso
Designation:	Consultant
Signature:	________________________
Date:	________________________

For MC Sithole (Client):

Full Name:	Marekiwa Courage Sithole
ID Number:	________________________
Signature:	________________________
Date:	________________________

SGBS Group — Professional Advisory & Compliance Services

This proposal is prepared for the exclusive use of MC Sithole (VAT Reg: 4450318136) and SGBS Group and is strictly confidential.